

AI-powered CRM capability model: Advancing marketing ambidexterity, profitability and competitive performance

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ABSTRACT

The rapid adoption of Artificial Intelligence (AI)-powered Customer Relationship Management (CRM) systems has exposed a critical gap: despite substantial investment, many organisations fail to derive meaningful business value from these technologies. Recent surveys show that while AI is a strategic priority for executives, only a fraction report significant returns, with adoption challenges particularly acute in customer-facing functions. This study addresses this gap by conceptualising and empirically examining AI-powered CRM as a higher-order organisational capability. Drawing on the microfoundations of dynamic capability theory, we adopt a three-stage research design. First, a systematic scoping review and in-depth interviews with industry experts identify the core dimensions and subdimensions of AI-powered CRM capability. Second, we operationalise and validate these dimensions within a nomological network. Third, a survey of 205 banking employees in Australia tests the influence of AI-powered CRM capability on marketing ambidexterity and, in turn, on organisational outcomes. The quantitative analysis confirms that AI-powered CRM capabilities positively shape marketing ambidexterity, which subsequently enhances profitability and competitive advantage. Theoretically, the findings advance CRM research by introducing a microfoundational capability model that integrates data management, multi-channel integration, and service offerings. Practically, the study provides actionable guidance for managers seeking to close the “value realisation gap” by cultivating AI-powered CRM systems as dynamic capabilities that balance exploration and exploitation in volatile markets.

1. Introduction

The escalating momentum of Artificial Intelligence (AI) powered Customer Relationship Management (CRM) has surged in recent years, establishing it as a pivotal cornerstone within the contemporary era of the Fourth Industrial Revolution (Rahman et al., 2023). AI-powered CRM is recognised as a catalyst for transformative advancements in CRM practices and big data analytical intelligence (Rahman et al., 2023; Zhang et al., 2020), characterised by its adaptability to dynamic market changes (Chaudhuri et al., 2022). Empirical studies further demonstrate its potential in enhancing organisations' capacity to fortify customer relationships (Chatterjee et al., 2022), manage complex interactions, and drive service innovation performance (Kumar et al., 2023).

The global market for AI-powered CRM reflects this enthusiasm. In the United States alone, industry revenue reached an estimated USD 41.0 billion in 2024, with projections suggesting expansion to USD 80

billion by 2025 (IBISWorld, 2024; Patil, 2024). Market leaders such as Salesforce, SAP, Microsoft Dynamics, Oracle, and Adobe continue to dominate this competitive landscape. Salesforce, for example, captured more than 21.7 % of the global CRM market share in 2023, outstripping rivals and underscoring its leadership during this era of AI innovation (Schmaier, 2024).

Although AI-powered CRM shares some foundational elements with other AI-powered information systems, such as data management and analytics, its role is fundamentally distinct. Unlike AI applications in operations, finance, or supply chain management, AI-powered CRM deals directly with consumer data and frontline customer interactions, where errors or biases can have immediate reputational and financial consequences. For example, Salesforce's CRM platform leverages AI-driven personalisation, next-best-action recommendations, and automated cross-selling, all of which directly shape customer perceptions, trust, and loyalty. This customer-centric orientation makes AI-powered

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CRM uniquely consequential compared to other enterprise systems.

Moreover, CRM platforms combine transactional, behavioural, and contextual data at scale to deliver personalised marketing offerings (e.g., cross-selling, dynamic pricing, recommendations). These processes are not merely back-end efficiencies but are embedded in the value co-creation process between firms and customers. As such, AI-powered CRM must grapple with challenges that are qualitatively different from those facing other AI-enabled systems: ensuring transparency in algorithmic decision-making, mitigating customer resistance to automated engagement, addressing ethical concerns around data privacy, and balancing personalisation with fairness (Gaczek et al., 2023; Papagiannidis et al., 2023). This distinctiveness underscores why examining AI-powered CRM through the lens of dynamic capabilities (DC) theory is important. While other AI-powered systems may rely on universal capabilities such as data governance or process automation, CRM uniquely requires the integration of these with customer-facing service offerings and multi-channel engagement to generate marketing ambidexterity. In other words, AI-powered CRM is not just “another” AI application; it is a higher-order capability that directly mediates between organisational resources and consumer value creation, making its study both timely and necessary.

Despite considerable enthusiasm for AI-powered CRM, many organisations fail to translate investment into meaningful outcomes (Chatterjee et al., 2022). A recent Boston Consulting Group survey reveals that only 25 % of executives report significant business value from AI initiatives, despite 75 % identifying AI as a strategic priority for 2025 (Apotheker et al., 2025). Similarly, McKinsey & Company notes that while nearly all firms invest in AI, only 1 % have achieved full AI maturity capable of generating substantial impact (Mayer et al., 2025). This gap is exacerbated by employee scepticism in critical customer-facing functions such as sales and marketing, despite AI's high potential in these areas (Mayer et al., 2025). Such findings underline significant organisational challenges in building AI-powered CRM capabilities.

The strategic integration of AI-powered CRM capabilities offers advantages for the financial ecosystem, allowing firms to effectively tackle contemporary challenges through enhanced customer interaction and refined decision-making processes. Financial service providers prioritise leveraging AI-driven customer service systems to achieve cost savings and improve service experiences for their clientele (Xu et al., 2020). The utilisation of AI in the banking sector aims to reconfigure the industry in alignment with the imperatives of the Fourth Industrial Revolution, thereby fostering enhanced levels of innovation, agility and resilience (Arya & Tiwary, 2024).

While service organisations are increasingly investing in AI-powered CRM technology, the banking industry has observed a notable 16 % increase in the average cost of disputes (Agrios, 2024). About 31 % of customer-facing roles in Australia lack proficiency in effectively utilising AI systems, and 34 % struggle to derive value from AI-powered CRM systems. Furthermore, customer preferences highlight the importance of digital experience and customer service in the financial sector, with 53 % of customers expressing willingness to switch providers for a better digital experience and 41 % for improved customer service (Salesforce, 2024). Concerns about financial security have also increased, with 43 % seeking enhanced digital experiences, while 42 % express concerns about a decline in financial security compared to the previous year (Salesforce, 2024). Negative attitudes toward AI, stemming from perceived opacity and a lack of transparency, result in individuals' reluctance to share information, thereby limiting the effectiveness of AI-powered CRM systems in supporting decision-making (Gaczek et al., 2023). Additionally, the dark side of AI-integrated processes extends beyond ethical decision-making and privacy issues, contributing to relationship gaps with adverse consequences for businesses (Papagiannidis et al., 2023). This underlines a critical need to comprehend how AI-powered CRM capabilities can be harnessed within rapidly evolving market dynamics to mitigate such risks and enhance

performance.

The extant research underscores the importance of examining AI-powered CRM systems, particularly given their direct role in shaping customer experiences and revenue growth (Rahman et al., 2023). However, prior studies often treat CRM generically, focusing on it as one of many enterprise technologies rather than as a uniquely customer-facing and data-intensive platform. As a result, the distinctive microfoundations through which AI-powered CRM capabilities are cultivated and how these capabilities interact with organisational outcomes remain underexplored. For instance, while research has linked data analytics and CRM usage to improved firm performance (Moradi & Dass, 2022; Rahman et al., 2023), these studies do not unpack how customer-facing service offerings and multi-channel engagement combine with back-end data governance to form a higher-order capability. This gap is particularly critical in dynamic markets where AI-powered CRM adoption is expanding but its value remains uneven, reinforcing the need for a framework that explains how AI-powered CRM can be developed and leveraged as a dynamic capability to achieve ambidexterity and long-term performance gains.

While previous studies have primarily focused on CRM as a general system, gaps remain in understanding its AI-powered capabilities and impact. For instance, prior studies have examined CRM in the context of technology turbulence (Chatterjee et al., 2022), industry dynamism and information and communication technology (ICT) capability (Chatterjee et al., 2022), strategic intent (Chaudhuri et al., 2022) and customer service flexibility. However, there is a paucity of research on AI-powered CRM capability and its role in establishing marketing ambidexterity as an organisational capability (Hughes et al., 2010) to achieve organisational success (Voss & Voss, 2013). Especially in adapting to rapidly changing environments and fostering innovation (Aker et al., 2023), the role of marketing ambidexterity between AI-powered CRM capabilities and key organisational outcomes (e.g., profitability and competitive advantage) remains notably underexplored (Chatterjee et al., 2022). This study addresses these gaps by applying the microfoundations of the dynamic capabilities framework (Bojesson & Fundin, 2021; Chen et al., 2023; Teece, 2007) to investigate how AI-powered CRM capabilities develop and influence marketing ambidexterity, ultimately driving profitability and competitive advantage in volatile market environments.

Accordingly, this study seeks to examine:

RQ1. (Exploratory – Ontological): What are the core dimensions and subdimensions that constitute AI-powered CRM capability?

RQ2. (Measurement – Operationalisation): How can these dimensions and subdimensions be reliably operationalised and validated within a nomological network?

RQ3. (Impact – Model Testing): To what extent do AI-powered CRM capabilities influence marketing ambidexterity, and how does this, in turn, shape organisational outcomes such as profitability and competitive advantage?

These research questions are designed as sequential stages of inquiry. RQ1 is exploratory, identifying dimensions and subdimensions through a systematic review and in-depth interviews. RQ2 builds on this foundation by operationalising and validating measurement scales. RQ3 models the effects of the higher-order capability on key performance outcomes. By integrating exploratory, measurement, and modelling perspectives, this study makes two contributions. Theoretically, it advances CRM research by introducing a microfoundational capability model of AI-powered CRM, moving beyond fragmented technological accounts. Practically, it provides banking managers with actionable guidance for harnessing AI-powered CRM systems more effectively to balance exploration and exploitation, thereby addressing the urgent need to bridge the “value realisation gap” that has so far plagued AI adoption in CRM.

The structure of this paper is outlined as follows: Section 2 provides a

review of the literature and theoretical underpinnings, with a focus on AI-powered CRM capabilities. [Section 3](#) presents the findings derived from qualitative research, which involved in-depth interviews designed to explore the dimensions of AI-powered CRM capabilities. [Section 4](#) elaborates on the conceptual model and hypotheses derived from the consolidation of insights gathered from the scoping review and in-depth interviews. Methodological considerations are explained in [Section 5](#), followed by a detailed examination of data analysis and a summary of findings in [Section 6](#). Finally, [Section 7](#) highlights the theoretical and managerial contributions of this research and outlines potential avenues for future research.

2. Literature review

2.1. Significance of AI-powered CRM capabilities

AI-powered CRM refers to the integration of AI algorithms within CRM systems, which enables businesses to identify new revenue opportunities ([Monod et al., 2023](#)). AI facilitates the automation of

processes to enhance business performance ([Baabdullah et al., 2021](#)). By analysing extensive customer data, AI aids organisations in their decision-making processes ([Chatterjee et al., 2021](#)), leading to a more profound understanding of customer preferences and fostering personalised interactions ([Li & Xu, 2022](#)). It not only functions as a system for collecting information but also assists in acquiring, retaining, and analysing customer data. This comprehensive approach enhances customer service satisfaction, fosters long-term customer relationships, and ultimately improves organisational profitability ([Suoniemi et al., 2021](#)). [Alnofeli et al. \(2023\)](#) reveal that AI-powered CRM capabilities constitute a multidimensional concept that integrates data management across multiple channels to offer innovative service solutions. This approach optimises interactions, adds value to businesses, and provides competitive intelligence that enhances customer satisfaction and business performance ([Libai et al., 2020](#)).

AI in CRM is a strategic concept ([Saura et al., 2021](#)), that encompasses a powerful combination of capabilities, including the automation of routine tasks, forecasting, natural language search, predictive lead scoring, personalised recommendations, refined segmentation, lead

Table 1
Current studies on AI-powered CRM capabilities.

Author(s)	AI-powered CRM Capabilities	Theoretical lens	Findings
Chatterjee, Mikalef, et al. (2022)	- Information Quality - System Fit - Organisational Fit	- Contingency theory - Dynamic Capability View (DCV)	The research indicates that factors such as information quality, system compatibility, and organisational alignment have a statistically significant and positive impact on the implementation of AI-powered CRM for managing Business to Consumer (B2C) relationships.
Rahman et al. (2023)	- Technology readiness - Information and communication technology capability (ICT) (Mediator)	Dynamic Capability View (DCV)	The findings suggest that a Business to Business (B2B) organisation's information and communication technology capability acts as a mediator in the relationship between technology readiness and AI-CRM capability.
Chatterjee, Chaudhuri, Vrontis and Basile (2022)	- Perceived usefulness - Perceived ease of use - Willingness to Change	Technology acceptance model (TAM)	The role of perceived usefulness, perceived ease of use, and willingness to change significantly influence corporate digital entrepreneurship among small and medium-sized enterprises (SMEs) in India.
Chaudhuri et al. (2022)	- Sensing Capability - Seizing Capability - Transforming Capability	- Situational crisis communication theory - Dynamic Capability View (DCV)	The integration of AI-powered CRM technology positively influences the dynamic capabilities inherent in family businesses, encompassing sensing, seizing and transforming capabilities, consequently exerting a positive and substantial effect on their sustainability amidst crises.
Kumar et al. (2023)	- Clinical Capability - Service Capability - AI-engagement capability	- The theory of productivity paradox - The resource-based theory (RBT) - Dynamic Capability View (DCV)	There is a direct and proportional connections among AI-powered CRM capability, customer service flexibility and service innovation.
Ozay et al. (2024)	- Customer Identification - Customer attraction - Customer retention - Customer Development	-	The findings defined four distinct clusters within the literature concerning AI-powered CRM including data-driven CRM strategies, AI techniques employed in CRM activities, strategies for AI implementation, and the enhancement of Customer Experience (CX) facilitated by AI-powered CRM.
Saura et al. (2021)	- Analytical CRM - Operational CRM - Collaborative CRM	-	The research results classify different types of CRM systems and their specific categories including, analytical, operational, and collaborative. Among these, the analytical CRM is specifically associated with developing strategies using AI in B2B digital marketing.
Gupta and Kumar (2022)	- Rigorous customer data analysis and predictive modelling - Targeted customer segmentation - Accurate sales forecasting - Identifying leads via image recognition and sentiment analysis	-	The study explored how Machine Learning (ML) as a part of AI, and the Internet of Things (IoT) have changed the way CRM systems are used in various industries. The research includes a real-world case study from an industry setting to illustrate the practical effects and applications of integrating these technologies into CRM practices.
Baabdullah et al. (2021)	- Joint Planning - Joint Problem solving	The technology organisation-environment (TOE) model	The acceptance of AI practices was notably impacted by technology roadmapping and attitude, while professional expertise did not exhibit a significant influence. Moreover, the acceptance of AI practices emerged as a significant determinant influencing AI-enabled relational governance, performance outcomes and the nature of AI-powered interactions between SMEs and their business clientele.
Li et al. (2023)	- Customer interaction management capability - Customer relationship upgrading capability - Customer win back capability	-	The utilisation of AI positively influences CRM performance. Furthermore, CRM capabilities significantly mediate the relationship between AI usage and CRM performance.

customisation, virtual assistance, and more (Galitsky, 2020). The AI-powered CRM system generates outputs conducive to predictive modelling and precise sales forecasting through meticulous customer segmentation, while also enabling lead identification via image recognition and sentiment analysis. These capabilities extend beyond those of conventional CRM systems (Gupta & Kumar, 2022).

The existing literature on AI-powered CRM primarily focuses on technological capabilities (Chatterjee et al., 2022; Rahman et al., 2023), with limited studies exploring its channel integration capabilities. Among the limited studies on this topic, Chaudhuri et al. (2022) identified sensing capability, seizing capability, and transforming capability as critical AI-powered CRM capabilities that have a positive and substantial impact on the sustainability of family businesses during crises. Most studies on CRM capabilities focus on overall performance as an outcome (Baabdullah et al., 2021; Chatterjee et al., 2022; Li et al., 2023). However, there is a dearth of research examining how AI-powered CRM can be applied to enhance specific aspects, such as overall profitability and competitive advantage.

The most recent studies on AI-powered CRM capabilities are presented in Table 1. The inclusion criteria for these studies are their relevance to AI-powered CRM capabilities and their publication within the last five years. Most of these studies focus on theoretical frameworks, employing the dynamic capability view (DCV), the resource-based view (RBV) and the technology acceptance model (TAM). While recent studies on CRM underscore the significance of information management capabilities, they indicate that certain capabilities, such as data governance, multi-channel integration and service offerings, are relatively underexplored in the AI-driven CRM literature.

2.2. Microfoundations of dynamic capabilities (DC)

Numerous theoretical frameworks have been employed to investigate the adoption of AI-powered CRM systems in business contexts including: Resource-based view (RBV) theory (e.g. Chatterjee et al. 2022; Kumar et al. 2023; Ledro 2021; Li and Xu 2022; Libai et al. 2020; Suoniemi et al. 2021; Zhang et al. 2020), Technology-Organisation-Environment (TOE) Theory (e.g. Baabdullah et al. 2021), Technology Acceptance Model (TAM2) (e.g. Chatterjee et al. 2021; Gupta et al. 2024), Status quo bias theory (e.g. Chatterjee et al., 2022; Demlehner and Laumer 2024), Unified Theory of Acceptance and Use of Technology (UTAUT) (e.g. Chatterjee et al. 2021; Gupta et al. 2024), Technology threat avoidance theory (TTAT) (e.g. Gaczek et al. 2023), Theory of Task-Technology Fit (TTF) (e.g. Gupta et al. 2024), theory of productivity paradox (e.g. Kumar et al. 2023) and Dynamic capability (DC) (e.g. Chaudhuri et al., 2022; Kumar et al. 2023; Rahman et al. 2023; Zhang et al. 2020). Although contributions to this field of research are valued, it has been acknowledged that much of the existing literature presents findings that are fragmented. Consequently, there remains a need to further explore the microfoundations of DC.

The resource-based view (RBV) theory constitutes a fundamental framework, suggesting that a company's long-term competitive advantage comes from its ability to effectively control and utilise resources and capabilities that are valuable, scarce, hard to replicate and cannot be easily replaced by competitors (Barney, 1991; Wang & Feng, 2012). In contrast to RBV, which predominantly emphasises the strategic significance of tangible resources (Srivastava et al., 2001), the DC perspective suggests that broad possession of diverse resources does not always result in superior performance over time (Shamim et al., 2021). Instead, it asserts that sustained competitive advantage arises from the capability to adeptly acquire and deploy a business's resources in alignment with the dynamic environmental conditions (Hossain et al., 2020). Teece et al. (1997) introduced the concept of DC, clearly distinguishing it from the RBV, while noting that the DC extends the RBV by emphasising different aspects. DC should be distinguished from operational capabilities, which pertain to an organisation's current operations, as DC is defined as an organisation's ability to integrate, build and

reconfigure internal and external competencies to address rapidly changing environments (Teece et al., 1997), thereby aiming to modify the enterprise's resource base (Aker et al., 2021).

Microfoundations of DC refer to the basic, detailed actions or processes at a lower level within the organisation that collectively explain and support broader, higher-level strategies and analyses (Bojesson & Fundin, 2021). In the context of DC theory, understanding these micro-level actions is essential for maintaining and enhancing the organisation's performance. Existing research explores the microfoundations of DC from diverse perspectives. For instance, Aker et al. (2023) investigate six microfoundations (i.e., analytics climate, cross-functional integration, data, technology, pattern spotting, and ambidexterity) within the emerging data-driven innovation paradigm, specifically discerning complementary and co-specialisation attributes. Teece (2007) suggests that the DC framework aims to uncover the origins of enduring competitive advantage and provide managerial guidance for sustaining profitability through the development and implementation of intricate microfoundations, including strategies to mitigate zero-profit scenarios in highly competitive markets.

To empirically investigate the research questions concerning AI-powered CRM capabilities, this study adopts the microfoundations of DC theory, which emerged from the DC framework as an extension of RBV (Teece et al., 1997). While RBV emphasises the value of static resources (Barney, 1991; Kristandl & Bontis, 2007; Wernerfelt, 1984), the DC framework focuses on how firms continuously build, integrate and reconfigure resources or microfoundations to remain competitive in dynamic environments (Teece, 2018; Teece et al., 1997).

The relevance of this approach is supported by Mikalef et al. (2021), who demonstrate how AI facilitates DC in B2B marketing by improving various microfoundational processes such as AI-driven data analysis, natural language processing, intelligent agents, decision automation and predictive analytics. These microfoundation processes correspond closely with the sensing, seizing, and transforming activities that characterise the broader DC framework (Teece, 2007). Building on this foundation, our study extends this logic to the context of AI-powered CRM, arguing that these technologies serve as higher-order capabilities underpinned by microfoundations that are essential for navigating dynamic market conditions. Recognising these micro-level activities is critical for maintaining and enhancing organisational performance (Chen et al., 2023).

Although DC theory has been extensively applied in many studies, as shown in Table 1, these investigations primarily focus on strategic-level routinisation within organisations, neglecting the operational level. This has left a gap in understanding how routinised and ad-hoc activities interact and influence organisational outcomes. To address this gap and provide new theoretical and practical insights, this study argues that adopting a microfoundations perspective is essential.

3. Research design

To address the RQs, we conducted three studies. First, we conducted study 1 (a scoping review) to identify the primary dimensions of AI-powered CRM. Second, we conducted Study 2 (in-depth interviews and thematic analysis, (n = 24) to confirm the dimensions and sub-dimensions of AI-powered CRM with industry experts. Finally, we conducted an empirical study (n = 205) to test the hypotheses and validate the research model.

3.1. Research setting

The study focuses on the major banking institutions in Australia, commonly referred to as the "big four" banks, namely the Commonwealth Bank of Australia (CBA), Westpac, National Australia Bank (NAB), and Australia and New Zealand Banking Group (ANZ). These establishments collectively hold a substantial market share, accounting for approximately 75% of the Australian banking sector. This

dominance highlights their significant influence and competitive position in integrating AI-driven technologies (Mehra & Leggatt, 2024). Renowned for their prominence within Australia's financial landscape, the combined assets of the big four banks exceeded \$3.85 trillion by the conclusion of 2023, surpassing twice the nation's economic output. The chosen context provides an ideal setting for exploring the research questions driven by several pivotal factors.

3.2. Scoping review - Qualitative (Study-1)

A scoping review was employed to develop synergistic solutions using qualitative techniques. This method serves as an effective tool for several purposes, including mapping existing literature and identifying common subdimensions within primary dimensions (Arksey & O'Malley, 2005; Fowler & Thomas, 2023; Munn et al., 2018). Using four key databases (i.e., Scopus, Web of Science, Business Source Complete and ProQuest), we used the following search strings "artificial intelligence" AND "customer relationship management", "AI" AND "CRM", "technological innovation and CRM", "automation and CRM", "CRM analytics" etc. till December 2023. The search focused on peer-reviewed journals with special attention to Australian Business Deans Council's (ABDC) C to A* ranked outlets, level 2 and above in the Association of Business Schools (ABS) and Q3 and above in the Scimago Journal Ranking. Studies focusing on only CRM were excluded, and studies with the application of AI in CRM were included. We also carefully assessed the citation data of each publication, including research questions, theories, methods, and findings of the selected studies, to evaluate their relevance to our study. Finally, we conducted a thematic analysis of 64 articles on AI-powered CRM, which resulted in three major dimensions: governance capability, multi-channel integration capability, and service offering capability as primary dimensions (refer to Exhibit 1).

3.3. In-depth interviews (Study-2)

To address the research question regarding the dimensions of AI-powered CRM, the study conducted 24 in-depth interviews between January and March 2023, utilising both written responses and Zoom

recordings. Participants were selected through purposive sampling (Agyei et al., 2022), targeting individuals with a minimum of two years of experience in utilising AI-powered CRM systems. Each interview was allocated 45–60 min and subsequently transcribed for thematic categorisation. To ensure diversity in sample characteristics, a descriptive analysis was conducted, encompassing variables such as age, gender, industry and management level. Consequently, the demographic profile of the respondents represents a variety of groups, as illustrated in Table 2.

The study subsequently employed manual thematic analysis to discern patterns and meanings within the interview dataset, adhering to the guidelines established by Braun and Clarke (2022). The data

Table 2
Descriptive statistics of the in-depth interview sample.

Category	Percentage
Age (Years)	
25–34	29.17 %
35–44	50.00 %
45–54	20.83 %
CRM system Experience	
2 Years	33.33 %
3–9 Years	50.00 %
> 10 Years	16.67 %
Gender	
Male	70.83 %
Female	29.17 %
Management Level	
Top-Level Management	16.67 %
Middle-Level Management	50.00 %
Lower-Level (Operational) Management	33.33 %
Industry	
Information Technology	20.83 %
Financial	16.67 %
Legal	4.17 %
Tourism	12.50 %
Telecommunications	4.17 %
Pharmaceutical	8.33 %
Consultancy	16.67 %
Other (News, Public sector and online services)	16.67 %



Exhibit 1. Research Design.

collection process was discontinued once the researchers were able to anticipate the informants' responses, indicating that data saturation had been reached. At this stage, minimal new insights were emerging from the interviews and additional data collection was unlikely to yield further valuable information. Data saturation, a key concept in qualitative research, denotes the point at which continued data collection no longer yields significant contributions to the study (Saunders et al., 2018). To ensure the validity and trustworthiness of the findings, the researchers adhered to the guidelines proposed by Denzin and Lincoln (2008), which recommend strategies such as triangulation, peer review, and participant validation to enhance the accuracy and reliability of the research process and outcomes.

Drawing upon the scoping review of AI-powered CRM, we identified three primary themes: data management, multi-channels, and service offerings. These initial themes established a preliminary linkage between the existing literature and the three core dimensions of AI-powered CRM. Through a thematic analysis of in-depth interviews with industry experts (Study 2), we explored eight subdimensions under each primary dimension of AI-powered CRM. Although our sample included respondents from both the financial and non-financial sectors, their collective CRM expertise provided valuable insights that enabled us to identify the themes and subthemes of an AI-based CRM model for the financial industry. To enhance further rigour of the thematic analysis, we convened a panel of independent judges, including two academics, to verify the primary dimensions: data management capability, multi-channel integration capability, and service offerings capability. Following the methodology outlined by Cassell and Symon (2004), a comparative analysis was conducted, integrating insights from existing literature with expert opinions in the field of AI-powered CRM. This approach facilitated the identification of patterns, recurrent themes, knowledge gaps, and potential avenues for future research.

The overall findings yielded eight subdimensions across three primary dimensions: The first dimension, data management capability, encompasses three subdimensions: data governance, data analytics and data privacy. The second dimension, multi-channel integration capability, includes two subdimensions: content consistency and process consistency. Finally, the third dimension, service offerings capability, comprises three subdimensions: personalisation, automation and meaningfulness. These dimensions and subdimensions are examined in detail within the subsequent sections of this research.

3.3.1. Data management capability

AI encompasses a wide range of functions, including data management, acquisition, extraction, processing, and retention from various sources with high efficiency (Jarek & Mazurek, 2019). It is concluded that AI serves as an exceptionally effective digital tool that can significantly enhance a company's overall performance, particularly in the realm of marketing strategies (Elhajjar et al., 2021). Data management is intricately connected to the functionality of AI-powered CRM systems. For instance, when asked to describe the components of AI-powered CRM, an expert noted:

"The basis of any AI-based CRM is the data management. The data in companies usually is scattered in different systems and may not be very structured. Data management is the main component." (Participant #23, Male)

Effective data management and data-driven automated processes are essential for understanding and discovering customer buying preferences, which will help enhance these relationships (Liao et al., 2012).

3.3.2. Multi-channel integration capability

The AI-powered CRM process should facilitate bidirectional communication and information exchange (van Esch et al., 2019). Multi-channel strategies employ a variety of integrated distribution channels to align with customer interaction patterns (Méndez-Suárez & Monfort, 2020). Marketing initiatives must account for the diverse

impacts of different strategies and channels (Wu & Monfort, 2023). Empirical evidence from Digital Green Supply Chains (DGSC) shows that effective internal and external integration enhances organisational outcomes (Wang & Zhang, 2024). Multi-channel integration in banking similarly requires coordination across internal processes and external interactions, positioning AI-powered CRM as a pivotal capability for aligning these interactions and delivering seamless customer experiences. The following statement corroborates this perspective:

"Multiple communication lines between the customer and business will provide a more seamless customer service experience. Businesses must ensure that customers can contact you on as many channels as available to the customer, including email, text, phone, messaging apps and social media." (Participant #20 Female)

3.3.3. Service offerings capability

According to Huang and Rust (2022), multiple AI intelligences offer various benefits in engaging customers, and AI-powered CRM can be utilised to enhance customer engagement across different service stages, including personalisation and standardisation. The effective integration of AI-powered CRM resources is achieved through the alignment, allocation, and valuing of different participants within the service ecosystem (Petrescu et al., 2022). These processes can combine existing elements in innovative ways, creating new capabilities that ultimately enhance service offerings and improve overall system performance. A CRM expert supports this viewpoint as follows:

"I think there are service offerings that are really useful, because basically, it's saying as a piece of kit, what am I going to need before I need it." (Participant #11, Female 42)

The implementation of AI-powered CRM can facilitate improved overall organisational engagement, enabling the company to more effectively target its customer base (Matthyssens & Vandenbempt, 2008). This, in turn, enables the provision of superior service offerings to its members.

4. Study 1 & 2 findings and hypotheses development

Based on the qualitative findings from the scoping review, in-depth interviews and thematic analysis, this study has identified three primary dimensions and eight subdimensions of AI-powered CRM capability (see Fig. 1). The inaugural dimension is *data management capability*, which encompasses three subdimensions: data governance, data analytics and data privacy. The second dimension is *multi-channel integration capability*, which comprises two subdimensions: content consistency and process consistency. Finally, the third dimension is *service offerings capability*, which encapsulates three subdimensions: personalisation, automation and meaningfulness. The conceptual model of AI-powered CRM capabilities in this study is constructed upon the foundational theories of DC and microfoundations. The model posits that AI-powered CRM capabilities, encompassing data management, multi-channel integration, and service offerings, significantly influence organisational outcomes such as sustained profitability and competitive advantage. These effects are hypothesised to be mediated by marketing ambidexterity, which reflects the organisation's ability to balance the exploitation of existing capabilities with the exploration of new opportunities.

4.1. Data management capability

Data management capability encompasses the acquisition, storage, and processing of diverse data volumes using data repositories and advanced analytics platforms (Legner et al., 2020; Wamba et al., 2017). According to Shamim et al. (2021), data management capability is a dynamic capability that operates at various organisational levels, enabling the sensing and seizing of opportunities to create value from

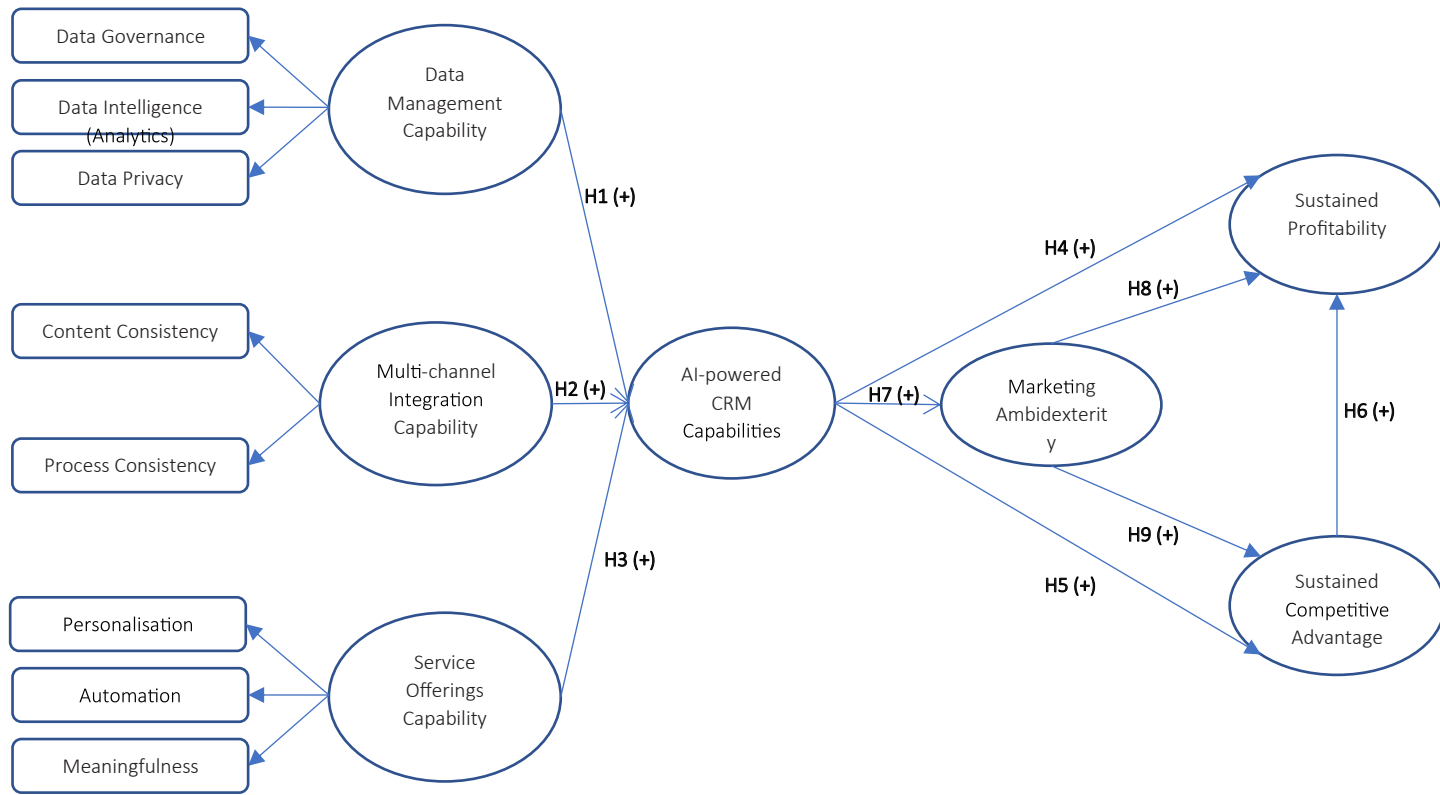


Fig. 1. Conceptual Model of AI-powered CRM Capability.

big data. In essence, managing the veracity and value of data through organisational processes and strategic direction is a crucial element in forming organisational dynamic capabilities, focusing on effective data management (Shams & Solima, 2019). It also involves strategic capabilities to enable data monetisation through enhanced business operations and decision-making processes (Legner et al., 2020). Data management capability consists of three sub-dimensions: data governance, data intelligence, and data privacy.

Data governance (DG) involves determining the individuals or entities responsible for decision-making regarding an organisation's data assets and ensuring effective management and use of data (Khatri & Brown, 2010). It encompasses the strategic implementation and management of policies, processes, and technologies to protect valuable data assets throughout the entire organisation (Gregory, 2011). Ensuring control over security and compliance through data governance makes it reliable for important decisions, prompting organisations to adopt it to maintain trustworthiness in the decision-making process (Sharma et al., 2014). The following comment reflects it:

"If you have a good CRM, it prevents security breaches where you cannot take the information and copy or paste it to someone else. So, I would say the second important thing is having strong information security." (Participant #1, Male, 34)

Data analytics (DI) is experiencing a shift in terminology, with the term "business intelligence" gaining more prominence, even influencing the traditional name of the field, Decision Support Systems (DSS) (Watson, 2009). It refers to a broad spectrum of applications, processes, and technologies designed to gather, store, access, and analyse data, aiding business users in making informed decisions (Watson, 2014), as reflected by the following comment:

"You need a system that can talk to different databases, manage big data, and also provide analytics, especially when you're talking about AI." (Participant #13, Male, 52)

Huang and Rust (2018) identify analytical intelligence, which refers to the ability to process information, employ logical reasoning, and apply mathematical skills to solve problems and derive insights from it. Organisations utilise analytics to extract insights from patterns, dynamic market trends, and customer preferences, aiming to enhance customer experience (Holmlund et al., 2020). This enables accurate decision-making, enhancing overall firm competitiveness and performance (Rana et al., 2022).

Data privacy (DP) involves regulating organisations' handling of consumer personal data for marketing purposes, including control over access, use, dissemination, and protection (Martin & Murphy, 2017). Customer data holds significant potential for enhancing productivity and profitability within organisations (Libai et al., 2020). However, managing sensitive customer data presents a dual challenge, as it may either amplify customer concerns regarding privacy breaches or create genuine vulnerabilities in the security of their personal information (Martin et al., 2017). King and Raja (2012) highlight the crucial link between privacy and data protection as part of data management, as reflected by the following comment:

"Data privacy policies focusing on data breach is one of the critical building blocks of AI-based CRM." (Participant #3, Male, 30)

Therefore, we hypothesise:

H1. : Data management capability positively influences AI-powered CRM Capabilities.

4.2. Multi-channel integration capability

The multi-channel integration capability plays a critical role within AI-powered CRM systems, translating the outputs of business strategy and value creation processes into value-added interactions with

customers (Abadie et al., 2023; Payne & Frow, 2004). It involves strategically managing diverse communication channels within the organisation to deliver a cohesive, seamless experience for customers across various touchpoints (Awasthi & Sangle, 2012; Frasquet & Miquel, 2017). Multi-channel integration capability encompasses two reflective sub-dimensions: content consistency and process consistency.

Content consistency (CC) refers to the uniformity between the information exchanged with customers across multiple channels and the information they receive (Sousa & Voss, 2006). Content consistency through different channels of interaction ensures an integrated and reliable service experience (Shen et al., 2018). Consistent content across channels is essential for a seamless experience, minimising friction and transaction times. Inconsistency, on the other hand, may lead to customer frustration during channel transitions (Lee et al., 2019). It ensures that customers receive uniform information and communications irrespective of the channels they select (Mukhopadhyay et al., 2023).

"The AI does a lot, the customer can interact with us through multiple touch points to multiple personas or multiple accounts. AI-based CRM will help us unify customer accounts, allowing us to see a single view of each customer and then reach out to them in a holistic, integrated manner." (Participant #6, Male 35)

Process consistency (PC) refers to the assurance of procedural and operational consistency within customer-facing operations across diverse communication channels. Examples include the speed of service delivery, imagery, and the overall feel of the channel (Sousa & Voss, 2006). Ozok et al. (2007) contended that consistent processes within automated CRM systems enhance organisational capabilities, potentially leading to increased customer profitability. It involves ensuring that the process and activities carried out in the front-office operations remain unified across various communications (Hossain et al., 2019). Lee et al. (2019) suggest that ensuring a uniform visual appearance and seamless experience across channels is essential for driving meaningful customer engagement, where customers actively interact with the firms' offerings and activities.

"Regardless of how they have interacted or who they are, they will be visiting our business, whether it be for any account. But for us, we should be able first to create a single view of the customer, and then create an integrated plan across channels for the customer who reached out and across different touchpoints for our customers to use in an automated and intelligent way." (Participant #6, Male 35)

The two sub-dimensions within multi-channel integration play a pivotal role in orchestrating integrated interactions that enhance the customer experience by ensuring consistent responses across channels and maintaining similarity and consistency in relevant process attributes (Mukhopadhyay et al., 2023; Sousa & Voss, 2006). By integrating these capabilities, organisations can create a seamless multi-channel experience that improves customer engagement and operational efficiency. Therefore, we propose:

H2. : Multi-channel integration capability positively influences AI-powered CRM capabilities.

4.3. Service offerings capability

Providing "good service" remains a primary focus for all service organisations, with "good service" often equating to more personalised service. Furthermore, the adaptation of service offerings significantly enhances employees' work performance and positively influences customer evaluations (Surprenant & Solomon, 1987). Service offerings, therefore, are actions taken to meet societal needs and accommodate diverse customer segments, each of which perceives unique experiential levels within the service. This capability has three distinct sub-dimensions encompassing personalisation, automation and

meaningfulness, each contributing to the overall effectiveness and satisfaction of the service provided.

Personalisation (SP) refers to the customisation of services to appear tailored to individual requirements (McCoy & Hargie, 2007), achieved through advanced AI technology that observes customer behaviour and adapts to their preferences and needs over time, thereby avoiding mass production (Chung et al., 2016). Personalisation is critical for gaining a competitive advantage in today's business environment, as it involves using personal-level data to tailor customer interactions and enhance marketing effectiveness across all marketing initiatives (Cavdar Aksoy et al., 2021). AI tools are viewed as advantageous for every aspect of the CRM process, as they facilitate personalised goods and services to consumers, thereby enhancing their experience and contributing to increased profitability, leading to improved customer satisfaction and financial gains for businesses (Libai et al., 2020). The following statement supports this:

"I believe that AI can be used to better structure and organise our teams to be more engaged with our customers. That provides us with opportunities to target our customer base better and build engagement and better service for our members." (Participant #9, Male 40)

Automation (SA) is defined as the utilisation of advanced technology to enhance efficiency and effectiveness through automated, personalised and data analytics-driven activities (Mero et al., 2020). Huang and Rust (2018) characterise automation as mechanical intelligence due to its capacity to autonomously execute routine repetitive tasks, resembling human behaviour while maintaining consistency. Implementing intelligent automation in a CRM system enables employees to effectively manage their relationships, streamline decision-making processes, and contribute to enhanced employee satisfaction (Chatterjee et al., 2022), as reflected by the following comment:

"We're talking about automation; it requires an advanced degree of analytics, and then you'll be able to provide the service to the customer through different channels because there are many channels that can be used." (Participant #13, Male, 52)

Meaningfulness (SM) encompasses the perceived relevance, appropriateness and usefulness of a new service or product for target customers, reflecting its comparative relevance to competitors (Akter et al., 2023; Siu et al., 2013). The operationalisation of meaningfulness involves assessing the degree to which the new service aligns with customers' needs (Siu et al., 2013). Kumar et al. (2023) argue that the process of creating a new service model includes enhancing existing services by leveraging novel resources, a concept commonly referred to as innovative service offerings. It is reflected by the following comment:

"The system serves a purpose, because you need to put what's relevant for the customer and relevant for the company." (Participant #11, female, 42)

Therefore, we hypothesise:

H3. : Service offerings capability positively influences AI-powered CRM capabilities.

4.4. Sustained profitability

According to Littleton (1928), profit serves as a measure of accomplishment, an indicator of operating results and a crucial element of indispensable managerial information. While economists and accountants typically define profit as the surplus remaining after covering all costs, including interest and wages, business practitioners view it as a vital metric for evaluating business performance and managerial effectiveness. This dual perspective highlights the multifaceted nature of profit, underscoring its importance not only in financial accounting but also in strategic business management. It emphasises that profit is not merely a financial outcome but a comprehensive indicator of

organisational health and strategic success.

Profitability (PF) is intrinsically linked to the achievement of financial goals, including returns on sales, business unit performance, and both current and expected returns on investment, as well as profit margins (Akter et al., 2023). Financial performance can also be assessed through managers' evaluations of their organisation's overall financial success relative to competitors (Gabler et al., 2015). These metrics are essential for understanding the effectiveness of business strategies and operational efficiencies. Given the paramount importance of profitability as a key metric for evaluating organisational performance, the integration of AI-powered CRM dimensions emerges as a critical capability. Scholars within similar research paradigms have acknowledged that enhancing such systems contributes to superior business value and overall firm performance (Chatterjee, 2022; Li et al., 2023). Thus, it is hypothesised:

H4. : AI-powered CRM capabilities positively impact sustained profitability.

4.5. Sustained competitive advantage

Sustained competitive advantage (CA) is a strategic approach that involves leveraging a company's unique capabilities and resources (internal strengths) to capitalise on market opportunities (environmental opportunities), while simultaneously managing and mitigating external risks (external threats) and addressing internal deficiencies (internal weaknesses) (Barney, 1991). This study aims to deepen the understanding of how AI-powered CRM systems can enhance a firm's competitiveness. It employs the microfoundations of the dynamic capability view, which focuses on the small-scale, foundational actions taken by the banking organisation. The hypothesis posits that the organisation can achieve a lasting competitive edge by effectively performing specific, detailed actions (Helfat & Peteraf, 2015; Teece, 2007). These everyday activities, when supported by AI-powered CRM capabilities, can lead to a sustained competitive advantage.

Furthermore, the literature provides precedence supporting the link between sustained competitive advantage and sustained profitability. By strategically considering a company's sustainability and resource imitation forces, executives can forecast dynamic pricing patterns, establish strategic guidelines for organisational learning processes and capture profits from technological innovation (Teece, 1986; Williams, 1992). This strategic foresight and adaptability are essential for maintaining a competitive edge in a rapidly evolving market. Therefore, it is highly plausible to hypothesise that leveraging AI-powered CRM capabilities enhances sustained competitive advantage, subsequently leading to sustained profitability. Accordingly, the following hypothesis is proposed:

H5. : AI-powered CRM capabilities have a significant positive effect on sustained competitive advantage.

H6. : Sustained competitive advantage of AI-powered CRM capabilities influences sustained profitability.

By integrating AI-powered CRM systems, firms can enhance their microfoundations of DC, enabling them to sense, seize, and transform opportunities more effectively than their competitors (Teece, 2007). This strategic use of AI not only supports immediate competitive gains but also fosters long-term sustainability, ensuring continued profitability and market leadership.

4.6. The mediating role of marketing ambidexterity

Marketing ambidexterity (MA) refers to the ability to retain current customers and exploit existing markets while simultaneously exploring new ones, ensuring sustained success through the coordination of innovation, adaptation to environmental changes, and refinement and extension of existing processes and technologies (Voss & Voss, 2013). According to De Luca et al. (2021), companies can maintain

competitiveness by utilising data-driven analytics; this is achieved through marketing ambidexterity, where companies leverage insights from evolving customer needs and market trends. When a company lacks marketing ambidexterity, its resources and capabilities will stagnate, preventing any strategic advantage from being realised. Conversely, ambidexterity facilitates both the exploration of new opportunities and the exploitation of current ones, ensuring the company remains dynamic and competitive in the market (Hughes et al., 2010). Investigating the mediating role of marketing ambidexterity between AI-powered CRM capabilities and organisational outcomes is important for several reasons. It unveils the underlying mechanisms driving these relationships, providing insights essential for developing strategies that fully leverage AI-powered CRM systems. Validating this mediation provides strategic insights into balancing market exploration and exploitation, which is crucial for maintaining competitiveness and long-term profitability. Additionally, it enhances decision-making by aligning resource allocation with strategies that promote sustained competitive advantages. This evaluation extends beyond direct effects, ensuring that CRM strategies are both technologically advanced and strategically integrated with market dynamics and customer needs, resulting in superior organisational performance. Hence, this research postulates the following hypotheses:

H7. : AI-powered CRM capabilities positively influence marketing ambidexterity.

In addition, within the discourse surrounding organisational sustained profitability and sustained competitive advantage, the role of marketing ambidexterity as a mediator in the context of AI-powered CRM capability has not yet been extensively explored. The strategic importance of marketing ambidexterity lies in its potential to bridge the gap between technological capabilities and market-oriented outcomes. By facilitating both the exploration of new opportunities and the exploitation of existing strengths, marketing ambidexterity can enhance the effectiveness of AI-powered CRM systems, resulting in superior financial performance and a more competitive positioning. Consequently, we have formulated the following hypothesis:

H8. : Marketing ambidexterity positively influences sustained profitability.

H9. : Marketing ambidexterity positively influences sustained competitive.

5. Survey research method – Quantitative (Study 3)

5.1. Measures

This study has utilised both explanatory and exploratory research methodologies. The instrument development process commenced with formulating conceptual definitions for each construct and compiling an initial list of items that closely align with the dimensions of these construct definitions (Creswell & Creswell, 2023; MacKenzie et al., 2011). Following the recommendations of MacKenzie et al. (2011), this process meticulously considered the nature of the construct, encompassing the conceptual domain and the applicable entity. The conceptual definition of AI-powered CRM, along with its dimensions, sub-dimensions, and measurement items, is illustrated in the conceptual model and presented in Table 3. Data governance was measured using the scale developed by Mikalef and Krogstie (2020), while data intelligence was assessed using measures by Ghasemaghaei (2019). The constructs of data privacy were evaluated by Parasuraman et al. (2005). Additionally, content consistency was measured by Sun et al. (2020) and process consistency by Lee et al. (2019). Personalisation and automation constructs were both measured by Lin et al. (2022), and meaningfulness was assessed using the scale developed by Nakata et al. (2018). The mediating variable, marketing ambidexterity, was measured using items adapted from the study by Akter et al. (2023). For the outcome

constructs, the sustained profitability was measured by Vorhies and Morgan (2005), and the sustained competitive advantage was measured by Cao et al. (2019).

To examine the impacts of AI-powered CRM capability and marketing ambidexterity on outcome constructs, this study controlled for demographic variables, including age, gender, education level, management level, and years of experience. These controls are essential as they may ultimately influence the outcomes. Participants were selected based on a minimum of two years' experience with AI-powered CRM tools, ensuring their familiarity and proficiency with the technology. Before testing its validity, it was necessary to evaluate and pre-test the AI-powered CRM scale (Hair et al., 2022; MacKenzie et al., 2011). As part of the pre-testing process, data were collected from 44 respondents to confirm the format, scales, sequence and wording of the questions. Additionally, pilot data were gathered from 60 members of the banking industry to assess the reliability and validity of the overall conceptual model. Table 3 provides the operationalised scales, along with their corresponding definitions and measurement items. These variables were measured using reliable and well-established scales from prior research to ensure the validity of the findings.

5.2. Main study

Data collection was facilitated by a leading marketing research firm in Australia from March to April 2024. The firm is a globally recognised data insights organisation renowned for its industry-leading online research capabilities and strong relationships with Australia's "big four" banks. The firm serves over 750 clients worldwide and offers innovative solutions (Kopsiaftis, 2023). Respondents were selected based on pre-defined criteria. The purposive selection of participants from the "big four" banks was aimed at ensuring optimal representation of the target population (Creswell & Creswell, 2023; Krishnaswamy & Satyaprasad, 2010). Specifically, the study targeted banking employees aged 18 years and above with a minimum of one year of experience using AI-powered CRM systems for banking. This criterion was deliberately chosen to serve as the sampling element for the research. A total of 774 survey responses were attempted. Out of these, 569 responses were excluded for failing to meet the eligibility criteria based on the specified questions. These criteria were established to ensure that only respondents with direct experience in utilising AI-powered CRM systems and a sufficient understanding of how banks employ data analytics for customer data analysis were included. Additionally, responses exhibiting flatlining, speeding, missing values, or other suspicious patterns (such as inconsistent or repetitive answers) were manually reviewed and excluded. These exclusion rules were designed to safeguard the quality and integrity of the data, ensuring that only knowledgeable and relevant participants contributed to the analysis. Reporting these details is crucial for transparency and for ensuring the generalisability and validity of the study's findings (Creswell & Creswell, 2023). Consequently, after applying the eligibility criteria, 205 completed responses were retained for the final analysis. The demographic profile of these respondents, representing diverse groups, is detailed in Table 4.

6. Data analysis

Partial Least Squares Structural Equation Modelling (PLS-SEM) is a robust methodology within the social sciences, esteemed for its capacity to attain model simplicity, thereby embodying a fundamental principle in research and theory construction. It is particularly effective for analysing higher-order complex models. In this research, SmartPLS 4.0 was employed to analyse the survey data, thereby enabling the prediction of both measurement and structural models (Hulland, 1999). The PLS-SEM was selected over other methods due to its suitability for exploratory research, where the primary focus is on explaining the variance in dependent variables and predicting outcomes from multiple independent variables (Hair et al., 2019). PLS-SEM is particularly advantageous

Table 3
Operationalisation of the construct.

Dimension	Sub-dimension	Definition	Items	Source
Data Management Capability	Data governance (DG) <u>Reflective</u>	Involves determining the individuals or entities responsible for decision-making regarding an organisation's data assets and ensuring effective management and use of data.	DG1 The AI-powered CRM system enables me to access very large, unstructured or fast-moving data. DG2 The AI-powered CRM system is able to integrate data from multiple sources. DG3 I feel that our AI-powered CRM system provides sufficient privacy for customer data. DG4 I feel that our AI-powered CRM system provides robust security for the data.	Khatri and Brown (2010); Mikalef and Krogstie (2020) Ghasemaghaei (2019); Ghasemaghaei et al. (2018); Watson (2014) Martin and Murphy (2017); Parasuraman et al. (2005)
	Data intelligence (DI) <u>Reflective</u>	It refers to a broad spectrum of applications, processes and technologies that are designed to gather, store, access and analyse data, aiding business users in making informed decisions	DI1 I have a high-level expertise in data analytics. DI2 I am knowledgeable in using analytical tools. DI3 I am skilled at using data analytics tools.	
	Data privacy (DP) <u>Reflective</u>	Involves regulating organisations' handling of consumer personal data for marketing purposes, including control over access, use, dissemination, and protection.	DP1 The AI-powered CRM system protects information about personal issues. DP2 This AI-powered CRM system protects information about personal identity. DP3 The AI-powered CRM system offers a meaningful guarantee that it will not share private information.	
Multi-channel Integration Capability	Content consistency (CC) <u>Reflective</u>	Refers to the uniformity between the outgoing and incoming information exchanged with customers across multiple channels.	CC1 The service performance is consistent across different channels. CC2 When I interact with one channel, my interactions with other channels are always taken into account. CC3 Information across the bank's multiple channels is generally consistent.	Sousa and Voss (2006); Sun et al. (2020) Lee et al. (2019); Sousa and Voss (2006)
	Process consistency (PC) <u>Reflective</u>	refers to the assurance of procedural and operational consistency within customer-facing operations across diverse communication channels, examples include the speed of the service delivery, imagery and the overall feel of the channel.	PC1 The AI-powered CRM system maintains consistent imagery across all channels. PC2 Service levels are uniform across all channels. PC3 Customer service experiences feel consistent across all channels. PC4 The AI-powered CRM system consistently delivers services quickly	
Service Offerings Capability	Personalisation (SP) <u>Reflective</u>	refers to the customisation of services to appear tailored to individual requirements, achieved through advanced AI technology that observes customer behaviour and adapts to their preferences and needs over time, thereby avoiding mass production.	SP1 The AI-powered CRM system tailors experiences to individual customers. SP2 The AI-powered CRM system addresses specific customer needs effectively. SP3 The AI-powered CRM system considers customers' unique circumstances in service delivery. SP4 The AI-powered CRM system provides immediate, individualised responses based on customer demands.	Lin et al. (2022); McCoy and Hargie (2007) Lin et al. (2022); Mero et al. (2020) Nakata et al. (2018); Siu et al. (2013)
	Automation (SA) <u>Reflective</u>	Defined as the utilisation of advanced technology to enhance efficiency and effectiveness through automated, personalised and data analytics-driven activities.	SA1 The AI-powered CRM system can automatically provide answers to frequently asked customer queries. SA2 The AI-powered CRM system automates repetitive tasks in customer interactions. SA3 The AI-powered CRM system can autonomously handle a larger volume of customer inquiries.	
	Meaningfulness (SM) <u>Reflective</u>	Encompasses the perceived relevance, appropriateness and usefulness of a new service or product for target customers, reflecting its comparative relevance to competitors.	Compared with our competitors, the service offering developed using AI-powered CRM systems: SM1 Meets customers' needs and expectations. SM2 Aligns with customers' desires. SM3 Is suitable for addressing customers' needs and expectations. SM4 Is useful for customers.	
Sustained profitability (PF)	<u>Reflective</u>	It serves as a measure of accomplishment it is a vital metric for evaluating business performance and managerial effectiveness	How well does your firm perform in regard to the following profitability parameters as a measure of the success of AI-powered CRM systems: PF1 Financial goals PF2 Returns on sales PF3 Business unit profitability PF4 Returns on investment	Littleton (1928); Vorhies and Morgan (2005)
Sustained competitive	<u>Reflective</u>	Is a strategic approach that involves leveraging a company's unique capabilities and resources to capitalise on market opportunities, while simultaneously	CA1 Since implementing AI-powered CRM systems, our profitability has surpassed that of our main competitors.	Barney (1991); Cao et al. (2019)

(continued on next page)

Table 3 (continued)

Dimension	Sub-dimension	Definition	Items	Source
advantage (CA)		managing and mitigating external risks and addressing internal deficiencies.	CA2 Our sales growth accelerated more rapidly than our main competitors following the adoption of AI-powered CRM system. CA3 Our market share expanded more quickly than our primary competitors after implementing AI-powered CRM systems. CA4 Our return on investment has exceeded that of our key competitors since integrating AI-powered CRM systems.	
Marketing ambidexterity (MA)	<i>Reflective</i>	Refers to the adeptness to retain current customers and exploit existing markets while simultaneously exploring new ones, ensuring sustained success through the coordination of innovation, adaptation to environmental changes, and refinement and extension of existing processes and technologies.	MA1 By using AI-powered CRM systems, our team can explore synergies with current service offerings. MA2 By using AI-powered CRM systems, our team can identify new strategic opportunities. MA3 By using AI-powered CRM systems, our team can visualise the connection between current services and future ones.	Akter, Hossain, Hani, et al. (2023); Voss and Voss (2013)

Table 4

Respondent Demographic Profile.

Gender		Age	
Male	50.73 %	18–24 years	9.27 %
Female	48.29 %	25–34 years	19.51 %
Non-binary	0.98 %	35–44 years	24.39 %
		45–54 years	15.12 %
		55 + years	31.71 %
Management Level		Education Level	
Chief Executive Officer (CEO)	4.88 %	No formal qualification	0.49 %
Executive Level	6.34 %	Primary Education	0.49 %
Senior Management	26.34 %	Secondary Education	13.17 %
Mid Management Level	39.02 %	Certificate Level	8.78 %
Entry-Level	19.51 %	Advanced Diploma/Diploma	18.05 %
Other	3.90 %	Bachelor's degree	37.07 %
		Graduate Certificate	6.34 %
		Postgraduate Degree (Master/Ph.D.)	15.61 %
Years of experience in Customer Relationship Management (CRM) Systems		Australian State	
Less than 3 Years	30.24 %	Australian Capital Territory (ACT)	2.44 %
4 – 6 Years	28.29 %	New South Wales (NSW)	33.14 %
7 – 10 Years	17.56 %	Northern Territory (NT)	0.98 %
More than 10 Years	23.90 %	Queensland (QLD)	17.07 %
		Tasmania (TAS)	7.32 %
		Victoria (VIC)	27.80 %
		West Australia (WA)	9.76 %

when evaluating complex models, as it produces accurate results with low bias, even when dealing with many constructs and indicators (Hair et al., 2019; Ringle et al., 2013). These characteristics made PLS-SEM the most appropriate method for assessing the relationships in this study's conceptual model.

The study conceptualises AI-powered CRM capability as a reflective-formative construct comprising first-order constructs: DG, DI, DP, CC, PC, SP, SA, and MA. Accordingly, the latent scores of all first-order AI-powered CRM constructs and outcome constructs MA, PF, and CA were estimated. The measurement model's findings confirm the reliability of the items, with all loadings exceeding 0.70 ($p < 0.001$), composite reliability values well above 0.80, and convergent validity indicated by an average variance extracted (AVE) greater than 0.50 (Hair et al., 2022). Table 5 presents a summary of the measurement model results, including measurement items, outer loadings, composite reliability, and average variance extracted (AVE).

The Fornell-Larcker criterion constitutes a method employed to evaluate discriminant validity, serving as a complementary approach

alongside other techniques. It involves comparing the square root of the AVE values associated with each construct see Appendix A. The values depicted in the table above, representing the square root of the Average Variance Extracted (AVE) as 0.870, 0.876, and 0.815, respectively, surpass the correlations between the latent variables. This indicates that the latent variables in the model are distinct from each other and do not share excessive variance. Therefore, the model demonstrates discriminant validity, suggesting that each latent variable measures a unique construct as intended. The Heterotrait-Monotrait Ratio (HTMT) is the ratio of correlations between different indicators across constructs with those within the same construct. Appendix B presented above showcases the HTMT, utilised for assessing discriminant validity. Notably, all values fall below the conventional threshold of 0.90, with the exception of the correlation between content consistency and process consistency (HTMT = 0.921). While all the HTMT values fall within the expected range, the values between content consistency and process consistency exceed the common threshold of 0.90. The reflective nature of the hierarchical model might cause this degree of conceptual overlap. While the two constructs remain empirically distinct, their strong correlation is theoretically anticipated. Because reliable processes commonly underpin the delivery of reliable content, which eventually leads to the formation of multi-channel integration capabilities.

The path coefficients indicate a positive relationship among all AI-powered CRM capabilities, their dimensions, sub-dimensions and outcome variables. The findings in Table 6 confirm that the Service Offerings Capability → AI-powered CRM Capabilities link is significant ($\beta = 0.487$, $p < 0.001$), followed by the Data Management Capability → AI-powered CRM Capabilities ($\beta = 0.326$, $p < 0.001$) and Multi-Channel Integration Capability → AI-powered CRM Capabilities ($\beta = 0.272$, $p < 0.001$) are significant. Thus, confirming H1, H2 and H3.

Within the domain of AI-powered CRM capabilities, the analysis of path coefficients reveals a coefficient of ($\beta = 0.396$, $p < 0.001$) between AI-powered CRM Capabilities and Sustained Competitive Advantage, and a coefficient of ($\beta = 0.186$, $p < 0.05$) between AI-powered CRM Capabilities and Sustained Profitability. Similarly, the path coefficient between Sustained Competitive Advantage and Sustained Profitability stands at ($\beta = 0.388$, $p < 0.001$). All the path coefficients are positive and statistically significant, thereby supporting hypotheses H4, H5, and H6. This suggests a favourable association between AI-powered CRM capabilities and the respective outcome constructs.

Overall, marketing ambidexterity, serving as a mediator of AI-powered CRM capabilities, exhibits a robust path coefficient of ($\beta = 0.734$, $p < 0.001$), underscoring a significant role between AI-powered CRM capabilities and marketing ambidexterity. In this context, AI-powered CRM systems function effectively within agile organisations, supporting H7. Additionally, the positive relationships between Marketing Ambidexterity → Sustained Profitability ($\beta = 0.285$,

Table 5
Results Summary for the Measurement Model.

Construct	Latent Variable	Indicators	Sample Mean (M) > 0.50	P Value $P < 0.05$ ("Significant")	Convergent Validity					Discriminant Validity	
					Outer Loadings > 0.70	Average variance extracted (AVE) > 0.50	Composite reliability (rho_a) 0.60–0.90	Composite reliability (rho_c) 0.60–0.90	Cronbach's alpha α 0.60–0.90	HTMT	HTMT Confidence Does not include 1
Data Management Capability	Data Governance (DG)	DG1 < - Data Governance	0.717	0.000	0.786	0.664	0.836	0.888	0.832		
		DG2 < - Data Governance	0.678	0.000	0.787						
		DG3 < - Data Governance	0.772	0.000	0.842						
		DG4 < - Data Governance	0.804	0.000	0.844						
	Data Intelligence (DI)	DI1 < - Data Intelligence	0.860	0.000	0.905	0.804	0.879	0.925	0.878	Yes	
		DI2 < - Data Intelligence	0.822	0.000	0.893						
		DI3 < - Data Intelligence	0.836	0.000	0.893						
		DP1 < - Data Privacy	0.877	0.000	0.905	0.802	0.878	0.925	0.877	Yes	
	Data Privacy (DP)	DP2 < - Data Privacy	0.826	0.000	0.886						
		DP3 < - Data Privacy	0.808	0.000	0.896						
		CC1 < - Content Consistency	0.800	0.000	0.869	0.768	0.849	0.908	0.849	Yes	
	Content Consistency (CC)	CC2 < - Content Consistency	0.803	0.000	0.892						
		CC3 < - Content Consistency	0.815	0.000	0.867						
Multi-Channel Integration Capability	Process Consistency (PC)	PC1 < - Process Consistency	0.791	0.000	0.854	0.750	0.890	0.923	0.888	Yes	
		PC2 < - Process Consistency	0.835	0.000	0.890						
		PC3 < - Process Consistency	0.842	0.000	0.903						
		PC4 < - Process Consistency	0.792	0.000	0.814						
	Automation (SA)	SA1 < - Automation	0.729	0.000	0.834	0.757	0.846	0.903	0.839	Yes	
		SA2 < - Automation	0.857	0.000	0.910						
		SA3 < - Automation	0.808	0.000	0.866						
		SP1 < - Personalisation	0.859	0.000	0.888	0.791	0.913	0.938	0.912	Yes	
	Personalisation (SP)	SP2 < - Personalisation	0.889	0.000	0.915						
		SP3 < - Personalisation	0.825	0.000	0.886						
		SP4 < - Personalisation	0.818	0.000	0.868						
		SM1 < - Meaningfulness	0.827	0.000	0.857	0.789	0.912	0.937	0.911	Yes	
Service Offerings Capability	Meaningfulness (SM)	SM2 < - Meaningfulness	0.853	0.000	0.913						
		SM3 < - Meaningfulness	0.879	0.000	0.914						
		SM4 < - Meaningfulness	0.825	0.000	0.868						

Table 6
Results of Structural Model.

Hypotheses	Direct Paths	β /Path Coefficients	Standard Error	T-Statistics	P-Value
H1	Data management capability-AICRM capability	0.326	0.016	20.496	0.000
H2	Multi-channel integration capability- AICRM	0.272	0.018	15.072	0.000
H3	Service offerings capability-AICRM	0.487	0.022	21.986	0.000
H4	AICRM-sustained profitability	0.186	0.080	2.328	0.020
H5	AICRM-sustained competitive advantage	0.396	0.078	5.068	0.000
H6	Sustained competitive advantage- sustained profitability	0.388	0.078	4.964	0.000
H7	AICRM- marketing ambidexterity	0.734	0.038	19.242	0.000

$p < 0.001$) and Marketing Ambidexterity $\rightarrow$ Sustained Competitive Advantage ($\beta = 0.267$, $p < 0.001$) further support H8 and H9, suggesting that these factors contribute significantly to banking success and performance in an agile landscape, implying adaptability and responsiveness to change.

Similarly, data management capability is explained by data governance ($\beta = 0.905$, $p < 0.001$), data intelligence ($\beta = 0.731$, $p < 0.001$) and data privacy ($\beta = 0.888$, $p < 0.001$). Furthermore, multi-channel integration capability is explained by content consistency ($\beta = 0.933$, $p < 0.001$) and process consistency ($\beta = 0.962$, $p < 0.001$). Additionally, service offerings capability is explained by automation ($\beta = 0.834$, $p < 0.001$), personalisation ($\beta = 0.930$, $p < 0.001$) and meaningfulness ($\beta = 0.921$, $p < 0.001$). All the path coefficients are significant at $p < 0.001$. The analysis from Table 7 reveals that all the capabilities exceed a very large F-Square (f^2) effect size. In this instance, the effect size alone does not suffice to determine significance; therefore, this research has incorporated p -values to assess significance (Hair et al., 2022). Notably, all p -values are < 0.001 , as determined through bootstrapping for the total effect. This indicates that the total effects are statistically significant. Consequently, the observed relationships between the capabilities and their associated variables demonstrate considerable magnitude, implying a noteworthy influence or impact of these capabilities on the outcomes under consideration. The investigation further examined the mediating role of Marketing Ambidexterity within the context of AI-powered CRM capabilities, sustained competitive advantage and sustained profitability. The mediating pathway, as outlined in Table 8 below, emerges as statistically significant at $p < 0.001$. Finally, the study tested the effects of control variables (COVA) on two outcome constructs (i.e., sustained competitive advantage and sustained profitability), which show no significant influence ($p > 0.05$).

Regarding common method variance (CMV), we have employed both a priori and post-hoc procedures to address this issue. For instance, before data collection, the questionnaire was split between antecedents and outcome variables. Also, to address response bias, we used different types of response scales for the online survey. As part of post-hoc analysis, we collected data on an unrelated variable (e.g., a marker variable). We then conducted a correlation analysis between the two marker variables and the AI-powered CRM capabilities construct separately, which provided us with non-significant relationships ($r = 0.038$ – 0.065 , $p > 0.05$).

Table 7
F-Square (f^2) effect size.

Sub-dimensions	AI-powered CRM Capabilities	β /Path Coefficients	f^2	Effect Size	Q^2	p-value < 0.000	P < 0.05 ("Significant")
Data Governance	Data Management Capability	0.905	4.531	Large	0.818	0.000	Yes
Data Intelligence		0.731	1.150	Large	0.530	0.000	Yes
Data Privacy		0.888	3.720	Large	0.787	0.000	Yes
Content Consistency	Multi-Channel Integration Capability	0.933	6.736	Large	0.870	0.000	Yes
Process Consistency		0.962	12.308	Large	0.925	0.000	Yes
Automation	Service Offerings Capability	0.834	2.288	Large	0.693	0.000	Yes
Personalisation		0.930	6.426	Large	0.865	0.000	Yes
Meaningfulness		0.921	5.584	Large	0.848	0.000	Yes

7. Findings, discussion and implications

To address the research question concerning AI-powered CRM capabilities, the study's findings identify various microfoundations within the domains of data management, multi-channel integration, and service offerings capabilities. Specifically, data governance ($\beta = 0.905$, $p < 0.001$), data intelligence ($\beta = 0.731$, $p < 0.001$) and data privacy ($\beta = 0.888$, $p < 0.001$) emerge as critical components that constitute data management capability in the context of AI-powered CRM. These results corroborate the assertions of Lokuge et al. (2020) and Gregory (2011), who emphasise that customer data is a valuable corporate asset requiring meticulous protection and active management. The integration of governance, privacy and analytics is highlighted as a significant enhancement to AI-powered CRM systems. Similarly, content consistency ($\beta = 0.933$, $p < 0.001$) and process consistency ($\beta = 0.962$, $p < 0.001$) are identified as significant dimensions of multi-channel integration capability. These results are in line with the findings of Wilson and Daniel (2007), who advocate for the adoption of CRM systems as essential components in the transformation towards engaging customers through multiple channels more effectively. The AI-powered CRM system significantly contributes to this transition by managing customer data, streamlining processes and enhancing interactions across various channels. Furthermore, these findings confirm the recent study by Abadie et al. (2023), which highlights that AI facilitates cross-channel process performance and highlights the importance of both tangible and intangible resources. This study also reinforces the role of AI in overcoming challenges associated with multi-channel integration. Finally, service offerings capability is explained by personalisation ($\beta = 0.930$, $p < 0.001$), automation ($\beta = 0.834$, $p < 0.001$), and meaningfulness ($\beta = 0.921$, $p < 0.001$). Service offering capability appears to be the most significant predictor due to the importance of these subdimensions in serving customer needs in an AI-driven world. Leveraging market orientation outlook, this function plays an instrumental role in attracting more prospects, closing more deals, and strengthening customer relationships through the unification of AI powered CRM activities on an integrated platform. While all second-order dimensions are significant and meaningful, service offering capability stands out as the strongest determinant.

The findings validate AI-powered CRM as a significant predictor of marketing ambidexterity, sustained profitability and sustained competitive advantage. The data indicate that AI-powered CRM accounts for 53.9 % of the variance in marketing ambidexterity ($R^2 =$

Table 8
Mediation results.

Effect	Path coefficients	p-value < 0.05	P < 0.05 ("Significant")	T statistics	Remarks
AI-powered CRM Capabilities -> marketing ambidexterity-> sustained competitive advantage	0.196	0.002	Supported	3.169	Significant Effect
AI-powered CRM Capabilities -> marketing ambidexterity-> sustained profitability	0.209	0.004	Supported	2.863	

53.9 %), 55.3 % of the variance in sustained profitability ($R^2 = 55.3\%$) and 38.3 % of the variance in sustained competitive advantage ($R^2 = 38.3\%$). According to Lokuge et al. (2020), the successful implementation of CRM systems enables organisations to gain a competitive advantage and increase customer interactions across multiple channels throughout the entire customer lifecycle. The results further demonstrate that marketing ambidexterity serves as a significant partial mediator in the relationships between AI-powered CRM and sustained profitability, as well as between AI-powered CRM and sustained competitive advantage. The AI-powered CRM helps achieve marketing ambidexterity by providing a holistic view of customer interactions across sales, service, marketing, commerce and beyond. The findings also reflect that autonomous AI agents enhance productivity across various CRM functions, resulting in sustained profitability and competitive advantages, such as generating leads or personalising offers.

7.1. Theoretical implications

The study presents several notable theoretical contributions. It diverges from prevailing trends in AI-powered CRM research, which predominantly focuses on strategic management and business success at the macro level (Chatterjee et al., 2022; Chaudhuri et al., 2022; Rahman et al., 2023). Our findings advance CRM knowledge by incorporating microfoundational perspectives of data management, multi-channel integration and service offering capabilities in developing an integrated AI-powered CRM capability model. This consolidative approach not only enhances the comprehension of AI capabilities but also provides a nuanced understanding of their operationalisation. For example, our findings extend this line of inquiry by identifying three microfoundations of offering capabilities: service personalisation, robust automation, and the provision of meaningful offerings that are not compromised by algorithmic hallucinations or biases. These offering capabilities operate in tandem with two other critical capabilities, data management (e.g., governance, intelligence, and privacy) and channel integration (e.g., content and process) to form a higher-order, AI-powered CRM capability model.

While prior research has extended the DC theory within CRM investigations (Chatterjee et al., 2022; Chaudhuri et al., 2022; Kumar et al., 2023; Rahman et al., 2023), it has predominantly overlooked the microfoundations inherent to the AI-powered CRM capabilities. This research advances the microfoundational perspective of DC theory to address current challenges by precisely outlining the main attributes of eight microfoundations, both at the individual and higher-order levels, that are essential to form an AI-powered CRM capability model (Magistretti et al., 2021).

Our research advances the theory by identifying the complementary and cospecialisation attributes of microfoundations (i.e., data governance, data intelligence, data privacy, content consistency, process consistency, personalisation, automation and meaningfulness) under three primary capabilities. The discernment of both lower-order and higher-order capabilities not only enhances the understanding of the concept but also extends knowledge of its holistic impact on marketing ambidexterity and critical outcomes.

For example, our findings build a critical bridge between the theoretical concepts of capability and ambidexterity, thereby shaping the emerging landscape of AI-powered CRM. It clarifies how marketing ambidexterity can be achieved by exploiting data governance,

intelligence and privacy across multiple channels (email, web, mobile, and social) to explore the next-best actions and generate dynamic, personalised offering. Specifically, the investigation into the mediating role of marketing ambidexterity extends the CRM literature by highlighting the strategic importance of balancing exploration (innovation) and exploitation (operational excellence) in an AI environment. This dual focus will empower firms to be agile and innovative without sacrificing efficiency, thereby achieving marketing ambidexterity by leveraging the microfoundations of AI capabilities.

Our findings offer a refined understanding of how organisations can achieve sustained competitive advantage and profitability using marketing ambidexterity. First, our findings establish the theoretical relationship between ambidexterity and sustained profitability through AI-powered recommendation algorithms, dynamic personalisation, and customer retention, which is far more effective than typical CRM-based acquisitions, directly improving long-term profitability. The operational excellence of ambidexterity also enhances cross-selling and reduces customer churn, driving steady profit growth. At the same time, the ability to innovate constantly makes switching costs high for customers, ensuring sustained competitive advantages. For example, these findings highlight pathways to competitive advantage in the financial industry through fraud detection, personalised financial product offerings, and data-driven customer engagement, enabled by the exploitation capability of strict governance, privacy, and compliance frameworks.

Overall, our findings elucidate how AI-powered CRM capabilities can be developed to address uncertainty through exploitation of data and process and exploration of new offerings. This perspective offers insights into the continuous evolution of microfoundations of DC, emphasising the need for ongoing adaptation and learning within organisations.

7.2. Managerial and Policy Implications

This study was conducted to help financial institutions in Australia understand how to implement AI-powered CRM practices successfully. The empirical results provide a comprehensive framework for understanding the key dimensions necessary for effective implementation. One of the most critical dimensions highlighted is the imperative of effective data management. This includes data governance, systematic analysis and data protection, all of which are essential for informing strategic decision-making and optimising CRM processes (Gregory, 2011). By prioritising robust data governance frameworks and advanced data analytics, organisations can enhance operational efficiency and safeguard customer information. This study emphasises the practical importance of developing comprehensive data management strategies to fully leverage the potential of AI-powered CRM systems. Technologies such as AI-powered CRM systems, which leverage intelligent solutions, big data analytics, and the Internet of Things (IoT), provide managers with new insights for developing innovative strategies (Lokuge et al., 2020).

Effective CRM across various communication and sales channels necessitates the support of a robust AI-powered CRM system. To ensure cohesive and efficient management of these relationships, CRM systems must be accessible not only to direct employees but also to indirect partners, such as third-party vendors or resellers, who engage with customers on behalf of the company (Wilson & Daniel, 2007). This inclusive approach ensures that all parties involved in customer interactions have the necessary tools and information to deliver a seamless

and unified customer experience across multiple channels of interaction. The effective management of customer relationships across diverse channels necessitates the implementation of a robust AI-powered CRM system, with a particular emphasis on enhancing service offerings. The study's findings highlight the ability of employees to automate and personalise services, thereby adding meaningful value to customer interactions. However, Wang and Zhang (2025a) found that ethical anxiety about AI digital employees can negatively moderate the technology's impact on innovative service offerings. Policymakers should consider implementing ethics training programs for financial industry in Australia in rolling out AI-powered CRM initiatives for various service innovations. Thus, time befitting AI ethics training, knowledge of updated AI ethics policies and establishing industry wide standards could reduce anxiety while empowering the ethical development and deployment of AI powered CRM in the financial industry (Li and Huang, 2020; Hani & Akter, 2024).

There are several additional practical implications relating to strategic resource application, employee training and development, enhanced customer insights, improved decision-making processes, innovation and adaptability, and compliance and risk management. For example, by understanding the specific AI-powered CRM capabilities that drive competitive advantage and profitability, managers can make more informed decisions about where to allocate resources. This strategic allocation ensures that investments are directed towards areas with the highest potential for return, enhancing overall organisational efficiency (Füller et al., 2022). The study highlights the importance of equipping employees with the skills needed to utilise AI-powered CRM systems effectively. Financial institutions should invest in comprehensive training programs that focus on data analytics, automation, and personalisation to maximise the benefits of AI technologies.

AI-powered CRM systems provide deep insights into customer behaviour and preferences (Libai, Bart, Gensler, Hofacker, Kaplan, Kötterheinrich, et al., 2020). Financial institutions can utilise these insights to develop targeted marketing campaigns, refine customer segmentation, and refine their customer loyalty programs, ultimately leading to increased customer satisfaction and retention. The integration of AI-powered CRM capabilities can enhance decision-making processes by providing real-time data and predictive analytics (Ledro et al., 2023). This allows managers to make proactive decisions that align with market trends and customer needs, ensuring the organisation remains competitive and responsive.

The study underscores the role of marketing ambidexterity in leveraging AI-powered CRM systems. Financial institutions should foster a culture of innovation and adaptability, encouraging teams to explore new market opportunities while optimising existing processes. This dual focus can drive sustained growth and innovation. With increasing regulatory scrutiny in the financial sector, AI-powered CRM systems can help institutions ensure compliance with data protection laws and manage risks more effectively. Robust data governance frameworks and automated compliance checks can mitigate potential legal and financial risks. For example, our findings can contribute to upgrade data governance policies in Australia aligning with CSIRO (2019)'s ethical framework of AI focusing on eight core principles as follows: generates net-benefits, do not harm, regulatory and legal compliance, privacy protection, fairness, transparency and explainability, contestability and accountability.

Microfoundations within a finance organisation are deeply interconnected, necessitating that managers adopt a holistic perspective on AI-powered CRM capabilities. This approach involves recognising the intertwined nature of these foundational elements and fostering a proactive environment across various organisational functions (Khan et al., 2020). By doing so, managers can design innovative and effective service offerings, leveraging a comprehensive understanding of their organisation's dynamic capabilities (Kindström et al., 2013). Furthermore, policymakers can harness the potential of AI-powered CRM capabilities by developing and implementing frameworks that encourage innovative

service offerings while ensuring ethical standards. Firstly, establishing regulatory measures to protect data privacy can help mitigate risks associated with AI-powered CRM adoption, ensuring that the benefits are maximised while maintaining public confidence and compliance with legal standards. Additionally, providing guidelines that promote transparency and accountability in AI algorithms can build trust among users and stakeholders (Gonçalves, 2020). Furthermore, collaboration with industry leaders and academic institutions can foster an environment of continuous improvement and knowledge sharing (Iqbal, 2021). By incentivising research and development (R&D) in AI-powered CRM technologies, policymakers can stimulate advancements that enhance CRM functionalities. Our findings can directly contribute to the safe, consistent and responsible use of AI policies and practices in Australia such as ISO/IEC 23894:2023 Information technology - Artificial intelligence – Guidance on risk management (PM&C, 2023).

Given the multifaceted nature of AI-powered CRM capabilities within financial institutions, managers must integrate various organisational functions to assemble actionable insights. These findings underscore the interconnection of microfoundations within the organisational processes, structure and interactions (Magistretti et al., 2021). As such, managers are encouraged to adopt a holistic perspective on AI-powered CRM capabilities, integrating ethical principles to deliver effective service offerings, ultimately contributing to business success. Drawing on global policies, such as OECD AI principles (OECD.AI, 2024), The Global Partnership on AI (GPAI) (GPAI, 2023), Globalpolicy.ai, a coalition of various government Wang ations (GlobalPolicy.ai, 2023), AI legal instrument by the Council of Europe to protect human rights (Council of Europe, 2023), UNESCO's 2021 Recommendation on the Ethics of AI (UNESCO, 2022), our findings suggest embracing an ethical AI framework that will data privacy and security in this evolving landscape.

7.3. Limitations and Future Research Directions

This study has certain limitations that must be acknowledged. Despite being carefully designed and executed to address the research questions, the study's methodology and focus introduce some constraints.

First, due to the exploratory nature of the study, we initially conducted a scoping review (Study 1) to map the existing literature, identify gaps, and explore the dimensions of AI-powered CRM capabilities. Leveraging our findings, future studies can conduct a systematic literature review on each dimension of our research model as this process provides specific, focused and in-depth evidence.

Second, the data collection was limited to the Big Four banks in Australia, and the empirical investigation was based on responses from individuals with at least two years of experience using AI-powered CRM technology. Consequently, the findings derived from the Australian banking industry may not be applicable to other industries or contexts. Moreover, it remains uncertain whether the results would be consistent in different countries. Therefore, it is recommended that future research should test the proposed conceptual framework in diverse settings to enhance the generalisability of the conclusions.

A third limitation of this study is the cross-sectional data collection approach, which captures responses at a single point in time. This method inherently restricts the ability to observe variations in respondents' perceptions and understanding over time. Consequently, the results may not accurately reflect changes in concepts and attitudes that could emerge over time. Specifically, these limitations are relevant to our two outcome constructs: sustained profitability and sustained competitive advantage. We used cross-sectional study to measure managers' perceptions on these two aspects. A future study using longitudinal design could adequately measure these constructs as it will help track changes in response patterns over an extended period, thereby providing a more comprehensive understanding of the dynamics involved.

Furthermore, this study did not include organisational or digital culture, which may influence how AI-powered CRM capabilities are formed. Consulting evidence highlights its importance for AI adoption and performance outcomes, with BCG (2018) noting that companies prioritising digital culture achieve significantly better results (Hemerling et al., 2018). Prior research also shows that digital culture can act as a critical moderator in digital transformation processes, shaping the link between digital adoption, strategic drive, and innovation performance (Wang & Zhang, 2025b). Future studies could therefore examine how cultural orientations influence or moderate the integration of AI-powered CRM components.

Finally, while this study identified three dimensions and eight microfoundations of AI-powered CRM capability, there may be additional dimensions that warrant exploration. Although some research has examined the impact of new AI-powered CRM systems on organisational performance, there is limited investigation into the microfoundational dynamics of AI-powered CRM and their effects on innovation, profitability and growth. Future studies should consider developing scales to measure marketing capabilities in areas such as communication, security and creative offerings. Additionally, incorporating a dyadic research approach that includes perspectives from both employees and consumers could provide a more comprehensive understanding of these dynamics. This conceptualised the sequential relationship between AI-powered CRM capability and marketing ambidexterity and examined its impact on sustained profitability and sustained competitive advantage. However, further research is needed to explore other potential mediators and outcome variables. Such investigations could provide a more nuanced understanding of the mechanisms and effects associated with AI-powered CRM capabilities, thereby enriching the existing body of knowledge and offering broader insights into organisational performance and strategic outcomes.

8. Conclusion

This study provides a comprehensive analysis of AI-enabled CRM

capabilities within the banking industry and their effects on profitability and competitive advantage. By utilising the theoretical framework and incorporating insights from the literature, as well as semi-structured interviews and survey data, we developed and empirically tested a conceptual framework. The findings indicate that the AI-powered CRM capability model, through the effective utilisation of its micro-foundations, can significantly enhance organisational performance. This entails developing strong data management capabilities, multi-channel integration capabilities and service offerings capabilities. By addressing these fundamental needs, organisations can better satisfy the requirements of employees and customers, ultimately achieving increased profitability and sustained competitive advantage. The results validated the proposed dimensions of AI-powered CRM, demonstrating that it influences marketing ambidexterity, which serves as a mediator, ultimately leading to sustained profitability and competitive advantage. This research highlights the critical role of AI-powered CRM in enhancing strategic outcomes in the banking sector.

CRediT authorship contribution statement

Khadija Khamis Alnofeli: Writing – original draft. **Venkata Yanamandram:** Supervision. **Shahriar Akter:** Supervision. **Ummehani:** Writing – review & editing, Methodology, Formal analysis.

Declaration of Competing Interest

The authors declare the following financial interests/personal relationships which may be considered as potential competing interests: Khadija Khamis Alnofeli reports financial support was provided by University of Wollongong. Khadija Khamis Alnofeli reports financial support was provided by United Arab Emirates Ministry of Education & Scientific Research. If there are other authors, they declare that they have no known competing financial interests or personal relationships that could have appeared to influence the work reported in this paper.

Appendix A

Discriminant Validity - Fornell- Larcker criterion	Automation	Content Consistency	Data Governance	Data Intelligence	Data Privacy	Marketing Ambidexterity	Meaningfulness	Personalisation	Process Consistency	Sustained Competitive Advantage	Sustained Profitability
Automation	0.870										
Content Consistency	0.561	0.876									
Data Governance	0.561	0.663	0.815								
Data Intelligence	0.398	0.416	0.487	0.897							
Data Privacy	0.556	0.626	0.744	0.469	0.896						
Marketing Ambidexterity	0.694	0.545	0.595	0.410	0.561	0.878					
Meaningfulness	0.657	0.638	0.662	0.442	0.723	0.674	0.888				
Personalisation	0.686	0.696	0.682	0.517	0.682	0.684	0.780	0.889			
Process Consistency	0.589	0.799	0.618	0.425	0.656	0.562	0.729	0.703	0.866		
Sustained Competitive Advantage	0.517	0.473	0.493	0.370	0.445	0.558	0.536	0.546	0.462	0.84	
Sustained Profitability	0.586	0.480	0.516	0.355	0.518	0.638	0.583	0.569	0.429	0.657	0.852

Appendix B

Discriminant validity - Heterotrait-monotrait ratio (HTMT)	Automation	Content Consistency	Data Governance	Data Intelligence	Data Privacy	Meaningfulness	Personalisation	Process Consistency
Automation								
Content Consistency	0.663							
Data Governance	0.680	0.788						
Data Intelligence	0.461	0.481	0.571					
Data Privacy	0.644	0.726	0.862	0.532				
Meaningfulness	0.750	0.727	0.760	0.494	0.810			
Personalisation	0.781	0.790	0.782	0.579	0.763	0.854		
Process Consistency	0.684	0.921	0.716	0.483	0.746	0.812	0.782	

Data availability

The data that has been used is confidential.

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